

SOUTHERN CROSS STRATEGIC HOLDINGS PTE LIMITED

Protecting People. Securing Progress.

Kikori Development Project | Papua LNG Corridor | Gulf Province, Papua New Guinea

STANDARD OPERATING PROCEDURE

Quality Assurance of Security Service Delivery

Planning, Verification, Assessment, Reporting & Corrective Action

Audit, Quality Assurance & Compliance (AQAC) Series

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UNCONTROLLED WHEN PRINTED — CONFIDENTIAL

Table of Contents

Table of Contents.....	2
1. Document Control	3
2. Purpose	3
3. Scope	3
4. Definitions & Abbreviations	3
5. Roles & Responsibilities.....	4
6. Prerequisites & Resources	4
7. Procedure — The QA Assurance Cycle.....	4
8. Performance Standards & KPIs	6
9. Classification & Escalation of Shortfalls.....	6
10. Scenario-Based Drill Procedure.....	6
11. Quality-of-Service (QoS) Assessment Procedure	7
12. Site- & Environment-Specific Considerations	7
13. Reporting Procedure	7
14. Records, Confidentiality & Document Control	7
15. Non-Retaliation & Good-Faith Reporting	8
16. Associated Forms & Records	8
17. Procedure Review	8
18. Authorisation	8

1. Document Control

SOP Title	Quality Assurance of Security Service Delivery
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Status	Approved — Controlled Document
Classification	Confidential — Internal Use Only
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Procedure Owner	Manager — Audit, Quality Assurance & Compliance (AQAC)
Approving Authority	Chief Executive Officer / Managing Director
Applies To	All AQAC personnel, and all employees, contractors and subcontractors subject to QA verification
Parent Policy	Quality Assurance Policy (SCSH-AQAC-QA-001), Version 2.0
Related Documents	Audit Policy (SCSH-AQAC-AUD-001); Compliance Policy (SCSH-AQAC-COM-001); post SOPs; Company Code of Conduct

2. Purpose

This Standard Operating Procedure (SOP) sets out the step-by-step method by which the Audit, Quality Assurance & Compliance (AQAC) Team plans, conducts, records and closes out quality-assurance (QA) activities across the Kikori Development Project (KDP) and the wider Papua LNG corridor.

It operationalises the Quality Assurance Policy (SCSH-AQAC-QA-001) by translating its principles into repeatable actions, defined responsibilities, standard forms and clear timeframes, so that every QA check, drill and assessment is carried out consistently and produces defensible, auditable evidence.

3. Scope

This SOP applies to every QA activity performed by the AQAC Team and to every security post and function within the KDP and the Papua LNG corridor, including land security, border and access control, riverine and maritime posts, mobile patrols, the Operations Room, Private Security Details (PSD), the Quick Response Team (QRT), K9 functions, and all remote and forward posts. Services delivered by subcontractors on the Company's behalf are subject to this SOP in the same manner as Company-delivered services.

4. Definitions & Abbreviations

Term	Meaning
QA	Quality Assurance — planned, systematic activities that give confidence services meet defined standards.
QoS	Quality of Service — a structured assessment of how well delivered services meet client and Company expectations.

SOP	Standard Operating Procedure — the authorised method for performing a defined task.
KPI	Key Performance Indicator — a measurable value showing how effectively an objective is met.
NCN	Non-Compliance Notice — a formal record issued for a major shortfall or systemic weakness.
CAIP	Corrective Action & Improvement Plan — a documented plan, with owner and due date, addressing a root cause.
QACR	QA Check Record — the standard checklist and evidence form completed during each verification.
VPSHR	Voluntary Principles on Security and Human Rights.
AQAC	Audit, Quality Assurance & Compliance Team.

5. Roles & Responsibilities

QA activity is carried out independently of line operations. Responsibilities under this SOP are:

Role	Responsibility under this SOP
AQAC Manager	Approves the QA schedule; reviews and signs off findings and reports; reports directly to Executive Management; refers legal, contractual or systemic matters to Compliance or Audit.
Quality Assurance Officer	Plans and conducts QA checks, drills and QoS assessments; completes the QACR; classifies shortfalls; maintains the QA KPI dashboard and Performance Scorecards.
Internal Auditor	Conducts scheduled, risk-based and unannounced verification; supports root-cause analysis on major and systemic findings.
Documentation & Reporting Officer	Maintains the QA master file, registers, evidence and reports; controls templates and version issue.
Operational / Site Managers	Provide access and context; own and implement corrective actions; may not overrule, suppress or amend QA findings or ratings.

6. Prerequisites & Resources

Before commencing any QA activity, the responsible officer confirms the following are in place:

- Current, approved post SOPs and standards for the function being verified.
- The approved risk-based QA schedule and the relevant QACR checklist template.
- Access authorisation, transport and — for riverine, maritime and remote posts — safety and communications equipment.
- Means of capturing evidence (photographs, timestamps, log extracts) and personal protective equipment appropriate to the site.
- Register of prior findings and open corrective actions for the post or function.

7. Procedure — The QA Assurance Cycle

All QA activity follows the five-stage assurance cycle below. Each stage is mandatory and is evidenced on the QACR.

7.1 Stage 1 — Plan

1. The QA Officer prepares a risk-based monthly schedule of checks, drills and QoS assessments, prioritising higher-risk posts, remote and riverine locations, and functions subject to recent change or previous shortfalls.
2. The schedule is sampled across day and night shifts and across sites, and includes a proportion of unannounced visits to reduce reliance on self-reporting.
3. The AQAC Manager reviews and approves the schedule before the start of each month.
4. The QA Officer confirms prerequisites (Section 6) and selects the correct QACR checklist for each planned activity.

7.2 Stage 2 — Verify

5. Attend the post or function and observe performance directly against the SOP checklist — do not rely on verbal assurance alone.
6. Verify serviceability and correct use of PPE, uniforms, communications and equipment, and validate training, induction and refresher records (including VPSHR and use-of-force currency).
7. Review incident-response logs, customer complaints and grievance handling for the period since the last check.
8. Capture supporting evidence for each checklist item — timestamped photographs, log extracts, records sighted — and note observed times against response-time standards.
9. Record any conflict of interest; if the officer has a personal or operational conflict in the matter, they stand aside and the check is reassigned.

7.3 Stage 3 — Assess

10. Compare each observation against the defined KPI target (Section 8) and mark each checklist item pass or fail.
11. Where an item fails, classify the shortfall as Critical, Major or Minor using the criteria in Section 9.
12. Determine the root cause of each shortfall — the underlying reason, not the visible symptom — and record it on the QACR.
13. Calculate the checklist pass rate and the relevant KPI results for entry into the dashboard.

7.4 Stage 4 — Report

14. Complete the QACR with findings, evidence references, classification and root cause, and sign and date it.
15. For each finding, assign a corrective action to a named responsible owner with a due date.
16. Enter results into the QA KPI dashboard and the departmental Performance Scorecard.
17. Escalate Critical and Major findings immediately in accordance with Section 9; consolidate all findings into the Weekly QA Report.

7.5 Stage 5 — Close & Improve

18. Conduct follow-up verification on the due date to confirm the corrective action has resolved the finding at root-cause level.
19. Where the action has closed the finding, mark it closed in the corrective-action register with evidence; where it has not, re-open or escalate.
20. Feed lessons learned back into SOPs, training and briefings, and record any recommended SOP revision.

8. Performance Standards & KPIs

QA verification is measured against the following KPIs. These are the pass/fail benchmarks applied during the Assess stage.

Indicator	Target	Review
Incident response time (post to scene)	Within SOP standard	Weekly
Complaint acknowledgement / resolution	Ack < 24 hrs; resolve < 5 days	Weekly
Uniform, PPE & equipment compliance	≥ 95%	Weekly
Training & refresher completion	≥ 95%	Monthly
VPSHR / use-of-force training currency	100%	Monthly
Scenario-based drill score	≥ 80% pass	Per drill
SOP adherence (checklist pass rate)	≥ 90%	Weekly
Corrective actions closed on time	≥ 90%	Monthly

9. Classification & Escalation of Shortfalls

Category	Definition	Required Response
Critical	Immediate threat to life, safety or asset security, or a serious breach of law, human rights or client contractual conditions.	Intervene and contain immediately; notify Executive and Project Management without delay; commence corrective action the same day.
Major	Repeated breach, systemic weakness, or an issue causing material operational disruption or reputational exposure.	Issue a Non-Compliance Notice (NCN); require a CAIP within five (5) working days.
Minor	Isolated deviation from an SOP or standard with limited operational impact.	Document and correct at site level; verify at the next scheduled review.

9.1 Escalation Steps

21. Identify and record the issue with supporting evidence on the QACR.
22. Report the issue to the AQAC Manager with a recommended classification; the Manager reports Critical and Major findings to Executive Management.
23. Assign corrective measures to a responsible owner with a due date (NCN and CAIP for Major findings).
24. Conduct follow-up verification to confirm whether the corrective action has closed the finding.
25. Where non-compliance persists or recurs, refer the matter for disciplinary or contractual action in accordance with Company policy.

10. Scenario-Based Drill Procedure

Drills test readiness for fire, intrusion, medical emergency, environmental / spill response and maritime or riverine emergency. Each drill follows these steps:

26. Plan the drill against the relevant response SOP, define the pass criteria (≥ 80%) and notify only those who must be informed for safety.

27. Conduct the drill, observing and timing each response action against the SOP.
28. Score the drill on the Drill Evaluation form and classify any shortfall per Section 9.
29. Hold a structured post-drill debrief, capture lessons learned, and record recommended SOP or training changes.
30. Issue the Drill & Exercise Evaluation Report and track any corrective actions to closure.

11. Quality-of-Service (QoS) Assessment Procedure

31. Schedule QoS assessments per the risk-based plan and, where required, in line with the client contract.
32. Assess delivered service against client and Company expectations and the contractual service levels for the KDP.
33. Consolidate results into the QoS Assessment Report and the departmental Performance Scorecard.
34. Report QoS results to management and, where contractually required, to the client.

12. Site- & Environment-Specific Considerations

- Remote and forward posts — schedule verification to reach isolated posts; use unannounced observation to minimise reliance on self-reporting.
- Riverine and maritime posts — confirm readiness of vessels, safety and communications equipment, and currency of maritime and man-overboard drills.
- Community interface — give particular attention to conduct at points of contact with landowners and communities, consistent with VPSHR and the project's social requirements.
- Adverse conditions — account for weather, terrain and access, and verify contingency arrangements.

13. Reporting Procedure

The QA Officer produces the following reports on the stated cadence; the Documentation & Reporting Officer files each in the QA master file.

Report	Frequency	Distribution
Weekly Quality Assurance Report	Weekly	CEO/MD, Operations Manager, Kikori Project Manager, Training Manager
Departmental Performance Scorecards	Weekly / Monthly	As above
Drill & Exercise Evaluation Reports	Per drill	As above
QoS Assessment Reports	Per assessment	As above; client where contractually required

14. Records, Confidentiality & Document Control

- The AQAC Team maintains a master file of QA checklists, scorecards, drill records and reports, stored securely in digital and hardcopy form.
- Records are retained for audit and client review and are classified Confidential — released only to authorised persons and, where contractually required, to the client.
- All template and standard revisions must be approved by Executive Management before use, and re-issued through the AQAC document-control process.

15. Non-Retaliation & Good-Faith Reporting

Personnel who, in good faith, report a quality shortfall, raise a concern or cooperate with a QA check are protected from retaliation. Any attempt to intimidate, penalise or obstruct a person for good-faith reporting, or to conceal, alter or suppress a QA finding, is a serious breach and is dealt with under the Company's disciplinary process.

16. Associated Forms & Records

Form ID	Title
QACR	QA Check Record (checklist + evidence)
QA-SCH	Monthly Risk-Based QA Schedule
NCN	Non-Compliance Notice
CAIP	Corrective Action & Improvement Plan
QA-CAR	Corrective Action Register
DRILL-EVAL	Drill & Exercise Evaluation Form / Report
QOS-REP	QoS Assessment Report
QA-SCORE	Departmental Performance Scorecard

17. Procedure Review

This SOP is reviewed at least annually, and earlier where there is a change in operational structure or contractual scope; a change in Papua LNG or KDP project requirements (including progression through FID and construction mobilisation); a change in the PNG regulatory environment; a new or elevated risk; a recurring quality shortfall or client dissatisfaction; or a directive from Executive Management or the client. It is revised whenever its parent policy (SCSH-AQAC-QA-001) is amended.

18. Authorisation

This SOP is issued under the authority of the Executive Management of Southern Cross Strategic Holdings Pte Limited and is a controlled document. Amendments are valid only when approved by the Approving Authority and re-issued through the AQAC document-control process.

Prepared By	Reviewed By	Approved By
Manager, AQAC	Compliance Officer	CEO / Managing Director
Name & Signature	Name & Signature	Name & Signature
Date	Date	Date